RENWOOD MILLS

Board Update

November 7, 2013

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Renwood Mills, LLC
Board Meeting

Date: November 7, 2013

Time: 2:00 pm EST

Location: Call in: 1.866.505.5962
Code: 982-114-1365

Attendees: Mark Barbeau, David Hull, Don Jungerman, Derry Burns, John Dziminski, Randy Jackson, Michael Manos.

I. Financial Performance

Monthly Financial Statements (Separate Document)

Income Statement

- Revenue for this 5 week month was the highest for any month of the year. The strong revenue led to EBITDA of 501K.
- Accruals for promotions are based on gross revenue and have been included in the adjustments line, reducing Net Revenue.
- The Delivery Expenses have been moved into the Cost of Revenues line in order to more accurately display Gross Margin.

Balance Sheet

- Negative Cash is the result of float. The revolver is funded every day for only the amount that will clear the account.
- Accounts Receivable has increased slightly due to the higher monthly revenue.
- Accounts Payable has decreased due to the payment of a "basis only" contract to a large local farmer.

Cash Flow Statement

- The cash balance at the end of September was (389K), with 636K drawn on the revolver. Current revolver draw is 260K.
- Distributions of $1,000K were made during the month and funded by revolver.
- Revolver availability at the end of September was 5,911K
- Wheat inventory was 453K bushels at the end of September. Current Wheat inventory is 387K bushels. This reduction in inventory has led to low loan balances.

2013 Analysis Income Statement (Separate Document)

- Includes more detail in COGS to identify grain, ingredients and packaging along with specific inventory adjustments.
- Net of feed grain sold and cost of feed grain in other income.
- Revenue from Midds and Hominy is a reduction in grain cost
- Second page includes the Income Statement normalized by revenue

II. Sales

Retail - Branded

- Promotional activity is at all time high levels as we promote our brands aggressively.
- Wal-Mart is showing strong growth primarily due to increased distribution.
- While Food Lion is flat versus Q3 2013, current Food Lion volumes in October have not reached needed levels in spite of the aggressive promotion
- Smucker's has recalled all corn meal products of every brand in our sales area, presenting additional sales opportunities.

Retail – Private Label

- Food Lion volume was considerably higher Q3 2013 vs Q3 2012 due to final shipments of Private Label. No additional private label shipments will be made to Food Lion.
- Dollar General shows significant declines, primarily because another Private Label provider has a lower delivered cost to their distribution centers due to favorable shipping rates.
- Publix continues to be a steady performer with solid margins.
- ALDI began ordering product the first week of November.

Food Service

- Overall, the segment continues to show slight declines. The decline in the Performance Food Group is due to the loss of a major customer.
- Paramount, our retail broker, is presenting opportunities with large restaurant chains which the company has previously not approached.
- Through Reese Brokerage we have bid for Southern Biscuit flour to be carried in the Defense Commissary Agency (DeCA)
- Currently evaluating a contract with Western Sizzlin / US Foods for a volume contract. If successful, this will be a template for future Food Service distribution agreements.

II. Sales

Commercial
Sales are up substantially, with new customers Bartlett Milling and Bay State Milling.
Margins show significant improvement versus 2012.

C.H. Guenther (Pioneer)– Prosperity, SC
10 – 12 bulk loads per week (5,100 – 6,120 cwt). Gross revenue of approximately $110K/week.
This is a customer that we have had a long term relationship with and that relationship should continue.

Carolina Foods – Charlotte, NC [New Customer in October]
6 bag loads per week (2,550 cwt). Gross revenue of $55K/week.
Building a relationship with this customer through attention to service and product consistency.

Sara Lee (Jennings Cobble)– Tarboro, NC
5 loads per week (2,550 cwt) with a gross revenue of $50K/week. Sales decreased this year due to a shift in their business. This account could become 8 loads per week with the approval of new business. Recently had an issue with dead grain beetles in some bag flour - quick reaction by our team resolved the issue and steps have been taken to prevent this from happening in the future.

Kellogg/Keebler – Charlotte, NC
Normally 8 – 10 loads per week. (4,080 – 5,100 cwt) generating approximately $82K/week in gross revenue. Recently have slowed usage due to overstocked inventory, but anticipate return to normal usage in the first quarter of 2014.

III. Operations

Grain Merchandising

- Inventory 418K BU. Current Cash price Inventory 7.21. Current Wheat Mark et Cash Buy Price: Board @ 6.54 + .90= 7.44 for DEC.
- Cash Sell Price Board @ 6.54 + 1.40 = 7.94 OCT-DEC. Current spread .73 cents per BU.
- Wheat market has been volatile over last 45 days. Trading from 6.50 to 7.11 range. Close yesterday at 6.53 down 2.5 cents.
- Currently have 37K BU nearby to be delivered.
- Current Wheat consumption is 62.5k BU per week at current sell through approximately 7.28 weeks of inventory.
- Currently we have bids out for Board plus 90 but have had minimum wheat procurement activity to date.

Order Fulfillment (Supply Chain, Milling, Packing, Facilities Engineering)

- Mill A running smoothly.
- Order Fulfillment has been stretched due to inflexibility of production process and continued emphasis on a make to order fulfillment strategy.
- Bin re-tasking/production upgrades will be completed over the next 3 quarters to include:
    - Phase 1 – Re-allocate packing storage bins to raw flour storage increasing raw flour storage from 3,200 cwt to 11,000 cwt. Allows the mill and pack to run independently (decoupled).
    - Phase 2 –Impact flour off mill improving flour quality/performance and mechanically controlling infestation. Simplify flour production by reducing number of streams (Cake, Equivalent straight grade).
    - Phase 3 – Flour transfer/mixing and chlorination on demand. Simplify flour production and packing by mixing and treating on demand.
    - Phase 4 – Install infestation destroyer prior to all pack lines.

Food Quality/Safety

- Food Safety put in charge of monitoring and reporting on screenings weekly and reporting corrective actions.
- Through continued monitoring of screenings and root cause analysis of issues / occurrences we have discovered several hot spot that must be addressed in mix and pack.
- Additionally , Food Safety has been put in charge of the development and monitoring all sanitation procedures. In process of developing a more robust sanitation schedule with very clear daily, weekly, monthly activities.
- In October we have had 1 commercial customer issue with bugs. Economic impact TBD.
- We have prioritized mechanical infestation control as part of near term CAPEX spending.
- BRC Audit scheduled 18th -20th Nov.

IV. Infrastructure

Finance

- AGH auditors will be on site week of November 18 for pre-audit work and will be onsite to observe year end inventory on December 30.
- AGH continues to work on the purchase price allocation project and I anticipate a formal report subsequent to the November on site visit.
- Contracted an IT analyst to build contract database and develop overall data structures. Started mid October.
- Hired an entry level accountant to focus on Grain accounting, bank reconciliations, etc. Start date November 18.

Human Resources

- All HR functions are now administered out of a centralized portal and employees can self-serve the majority of HR related functions in the portal.
- All plant personnel set up in ADP electronic hand punch system including rules for clock in / clock out. Supervisors will be able to approve hours of employees when plant office complete at the end of November.
- All employees now have “Renwood Mills” branded uniforms.

Technology Infrastructure Project

- Sage X3 ERP project well underway. Software configured after weeks of intensive requirement conversations. Conference room set up with PC’s linked to new system with employees working daily to enter data and maneuver through system.
- Sage Conference Room pilot from Nov 11 – Nov 15 to simulate a live environment. Go live for financials and baseline distribution will be Jan 2. During Q1, the remainder of the manufacturing functionality will be implemented.
- Currently mapping data structures to integrate X3, Risk management, Contract management, Sales reporting, Financials and Cost systems.

V. Capital Expenditures

Capital Expenditures Projects

Project	Sort	Prioirty	Location	Description	Rationale	Cost	Status	Capitalized
Safety	1	2013	General	HRGS for electrical	Employee Safety	51,150	Not Started	
Safety	1	2013	Mill	Remove old temper bins	Employee Safety	23,440	Completed	23,440
Safety	1	2013	Mill	Safety for bulk tanker	Employee Safety	3,000	Not Started	
						77,590		
Equipment Maintenance	2	2013	General	Computer Upgrades	Repair/Replacement	13,275	Completed	13,275
Equipment Maintenance	2	2013	Mill	New Rolls	Repair/Replacement	8,300	Completed	8,300
Equipment Maintenance	2	2013	Lab	Platinum Ash Dishes	Repair/Replacement	2,900	Completed	
Equipment Maintenance	2	2013	Grain Elevator	Paddle for conveyor	Repair/Replacement	2,098	Completed	2,098
Equipment Maintenance	2	2013	Mill	Combinator Deck	Repair/Replacement	9,300	Completed	
						35,873		
Building Maintenance	3	2013	Grain Elevator	Grain Elevator Roof	Repair/Replacement	51,155	Completed	51,155
Building Maintenance	3	2013	Grain Elevator	Silo Crack	Repair/Replacement	20,000	Not Started	
Building Maintenance	3	2013	General	Heat Pump	Repair/Replacement	4,913	Completed	4,913
Building Maintenance	3	2013	General	Flour Mill Offices	Transition	12,000	In-Process	4,000
						88,068		
Sanitation	4	2013	Mill	Vacuum for Mill	Sanitation	16,000	Not Started	
Sanitation	4	2013	Pack	Portable Vacuum	Sanitation	11,465	Completed	11,465
						27,465		
Process Improvement	5	2013	Mill	Get A-mill operational	Capacity	8,877	Completed	8,877
Process Improvement	5	2013	Mill	Retask flour storage	Bottleneck Elimination	239,500	Not Started	
Process Improvement	5	2013	Mill	Impaction on demand	Capability	79,800	Not Started	
Process Improvement	5	2013	Pack lines	Infestation Destroyers	Mechanical Pest Control	160,000	Not Started	
Process Improvement	5	2013	Pack lines	Bin Feeders	Sanitation	30,000	Not Started	
Process Improvement	5	2013	Grain Elevator	Routing Automation	Productivity	27,000	Not Started	
Process Improvement	5	2013	Grain Elevator	Grain Yo-yo's	Inventory Control	44,000	Not Started	
						589,177		
X-3 System	6	2013				200,000	In-Process	36,938
Misc. projects (Branding, Plates	7	2013				18,583	Completed	18,583
Total 2013 Capex Budget					Total 2013 Capex	**1,036,757**		**183,045**

	Planned	Capitalized	Total
Completed		154,307	154,307
In-Process	183,262	28,738	212,000
Not Started	670,450		670,450
	853,712	183,045	1,036,757